RPS Research

September 2025

Price Target

$ 41

The Mosaic Company

Ticker: MOS
Sector: Fertilizers

From Soil to Scale: Mosaic's Fertilizer Advantage

Key Highlights

Following Mosaic's Q2 2025 results, the company's net income surged to $411 million, **rebounding from a net loss** last year, with diluted EPS at $1.29 and **revenues up 7% year-on-year**. This turnaround was fueled by **price recovery in all major fertilizer products**, **operational gains in Brazil**, and **a series of significant non-operating tailwinds**, notably $220 million of FX and derivative gains and a $216 million mark-to-market boost from the company's Ma'aden equity position. These factors **masked an underlying decline in adjusted EBITDA**, with continued cost inflation, higher turnaround expenses, and rising SG&A, much of which stemmed from notable non-cash bad debt and digital transformation charges. As such, we assign a **BUY rating** to Mosaic with a **$41 target**.

Volatility and Capital Intensity: Beneath the headline rebound, the quarter's quality was mixed. The non-cash, non-operating impacts were unusually large: strategic exposure to Ma'aden now embeds Saudi equity market risk directly into Mosaic's reported profits, making GAAP earnings increasingly volatile. Similarly, the FX and derivative gains were driven by the Brazilian real and Canadian dollar appreciation but could easily reverse with currency headwinds, a dynamic not commonly modeled by peers. Meanwhile, the Brazil business, while a strong earnings contributor, drove a sharp increase in working capital, as outstanding customer prepayments fell and inventories rose to support seasonal volumes. This pattern now reliably suppresses first-half cash generation, with anticipated reversal in the second half.

Potash and Brazil Outperform: Potash delivered solid results, generating $194 million in operating profit and $278 million in adjusted EBITDA as higher realized prices outweighed $20 million in extra maintenance and turnaround spend. Management raised its full-year potash output guidance on the back of operational gains at Esterhazy and market demand, signaling a constructive outlook for supply discipline and pricing power. In Brazil, Mosaic Fertilizantes continued to scale into a true regional leader, delivering $109 million in operating earnings and adjusted EBITDA of $159 million, with mix and pricing improvement accelerating after the ramp-up of the new Palmeirante blending plant.

Input Cost Sensitivity and ARO Risk: The Phosphate segment, however, highlighted cash cost and operational risk. Despite pricing strength, Q2 swung to an $8 million operating loss, with adjusted EBITDA of $217 million. Critical drivers were the synchronized spike in sulfur (up 51% YoY) and ammonia, elevated turnaround and fixed cost under absorption, and a $76 million increase in ARO and environmental accruals. Notably, Mosaic's aggregate ARO now approaches $2.6 billion, reflecting not only normal mine lifecycle obligations but also updated permitting and regulatory risk, which could recalibrate free cash flow conversion materially.

Outlook: *Looking through the noise, Mosaic's management remains sharply focused on operational discipline, lifting its cumulative cost savings target to $250 million by 2026 and tracking above prior cadence. Strategic reviews of assets like Carlsbad and Taquari remain ongoing, and Mosaic's ability to return capital (a Q2 dividend of $0.21/share, plus debt reduction) illustrates balance sheet strength even as cash flow conversion is hindered by working capital swings and accrual volatility.*

For the remainder of 2025, management reaffirmed full-year capital expenditure guidance of $1.2–1.3 billion, with major Brazil and North American projects pacing as expected. Potash production guidance has been raised to 9.3–9.5 million tonnes, reflecting operational

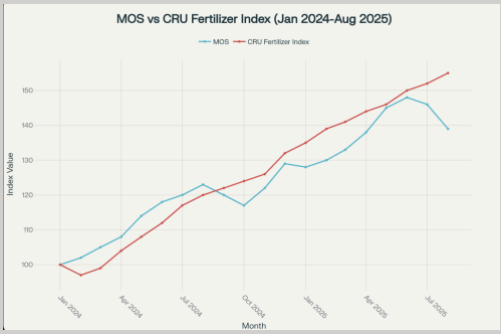
About the Company

The Mosaic Company (NYSE: MOS) is one of the world's largest integrated producers and marketers of concentrated phosphate and potash crop nutrients, with operations spanning North and South America and a global distribution platform. These products are critical to improving agricultural yields and supporting global food security. From an investment perspective, Mosaic's performance is closely tied to fertilizer pricing cycles, global crop demand, and input cost trends. The company benefits from scale, vertical integration, and disciplined capital allocation, but remains exposed to commodity volatility and agricultural market dynamics, making it a cyclical yet strategically important player in the global agribusiness sector.

Stock Price	$33.97
Reccomendation Rating	Moderate Buy
Target	$41.00
Expected Return	21%
Average Daily Volume (2024)	~3.75 million shares
YTD Performance	25%
52-Week High	$38.23
52-Week Low	$22.36
Shares Outstanding (Basic)	317.3 million
Market Capitalization	$10.8 billion

	Q2 2025	2025F	2026F
Potash Sales Volumes (Mt)	2.3	9.3 – 9.5	9.6 – 9.8
Phosphate Sales Volumes (Mt)	2	7.0 – 7.3	8.2 – 8.5
Fertilizantes Sales Volume (Mt)	3	10.0 – 10.8	11.0 – 12.0
DAP Realized Price ($/t)	668	$650 – $670	$655 – $675
MOP Realized Price ($/t)	261	$230 – $250	$245 – $265
Sulfur Cost ($/t)	209	*~$200*	*$190 – $205*
Ammonia Cost ($/t)	445	$420 – $450	$415 – $440

	Q2 2025	2025F	2026F
Net Sales ($M)	3,006	~$13,000	~$13,250 – $13,750
Adjusted EBITDA ($M)	566	~$2,150	~$2,250 – $2,300
Free Cash Flow ($M)	305	*~$603*	*$1,100 – $1,200*



Extremely high correlation of 0.97 vs CRU Fertilizer Index

Average realized prices remain robust, with Q2 Potash at $274/tonne (up 14% YoY) and Phosphate at $665/tonne (up 15% YoY); Brazil's finished product prices also strengthened, supporting a strong margin outlook. Core phosphate cost pressures, most notably sulfur and ammonia, are expected to persist near-term, but should moderate if global supply normalizes, while Brazil's working capital release is forecast to drive a sequential rebound in H2 operating cash flow.

Prepared by Rishampreet Singh using information from Mosaic's filings and other reports. Please reach out to rishampreet10@gmail.com if you'd like to access the DCF Model which was developed to prepare this report.